PERSONAL PROJECT · EQUITY ANALYSIS

# NVIDIA

*Equity Snapshot · FY2025 — Q3 FY2026*

*"The arms dealer of the AI gold rush."*

AN PHU NGUYEN DUC

NASDAQ
NVDA

# The infrastructure layer *of the AI economy.*

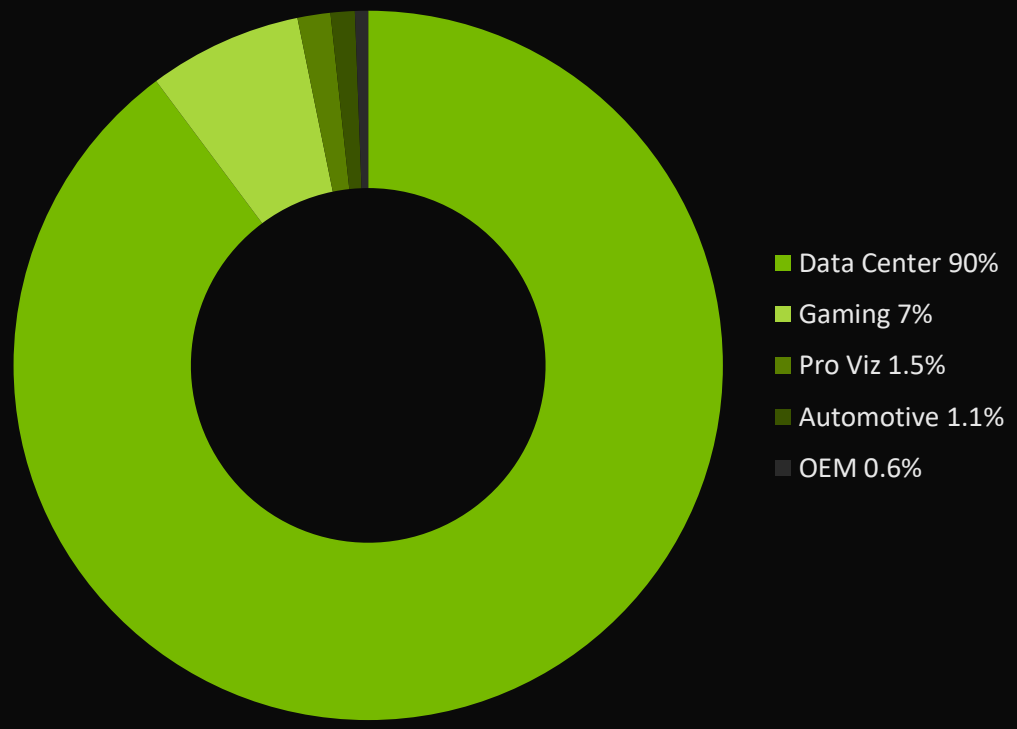
| FOUNDED | CEO | EMPLOYEES | MARKET CAP |
|---|---|---|---|
| **1993** | **Jensen Huang** | **~42,000** | **$5.1T** |
| Santa Clara, California | Co-founder, since inception | Globally as of 2026 | Apr 2026, NASDAQ-listed |

## BUSINESS MODEL

**Full-stack technology company.** Designs both hardware (GPUs, networking, systems) and software (CUDA, AI Enterprise) - capturing margin across the entire compute layer.

**Fabless.** Concentrates resources on R&D and design; outsources manufacturing to TSMC. This avoids the capital intensity of fab ownership while preserving pricing power on every chip shipped.

# Where the money *comes from.*




Q3 FY2026

## $57.0B total revenue

Data Center generated **$51.2B** - almost 90% of total. The Gaming, Pro Viz, and Automotive segments together produced less than **$6B.**

**INSIGHT**

*Concentration is both NVIDIA's strength and its largest single risk. If hyperscaler AI capex slows, ~90% of the revenue mix is exposed.*

# The product that *trains the world's AI.*

## 01 GPU ACCELERATORS

H100, H200, B200, B300

The compute. Used by OpenAI, Anthropic, Meta, Google to train frontier models. B200 delivers ~3x training and 15x inference performance over H100.

## 02 NETWORKING

Spectrum-X, Quantum InfiniBand

The interconnect. After acquiring Mellanox, NVIDIA owns the fabric that links thousands of GPUs into a single training cluster. Sold as a bundle with compute.

## 03 INTEGRATED SYSTEMS

DGX, GB200 NVL72

Pre-built rack-scale supercomputers. GB200 NVL72 packs 72 Blackwell GPUs into one liquid-cooled rack, delivering 1.44 exaFLOPS of FP4 inference.

# Three smaller bets *with long horizons.*

GAMING

**7.0%**

*of FY26 revenue*

## GeForce + DLSS

RTX 50-Series (Blackwell) GPUs for gamers and creators. DLSS 4 uses AI to upscale frames - same hardware sold twice as software value.

PARTNERS

ASUS, MSI, Epic Games

AUTOMOTIVE

**1.1%**

*of FY26 revenue*

## DRIVE platform

DRIVE Thor delivers 2,000 TFLOPS for autonomous driving. NVIDIA is positioning itself as the brain inside next-gen EVs.

PARTNERS

Mercedes-Benz, BYD, Volvo

PRO VISUALIZATION

**1.5%**

*of FY26 revenue*

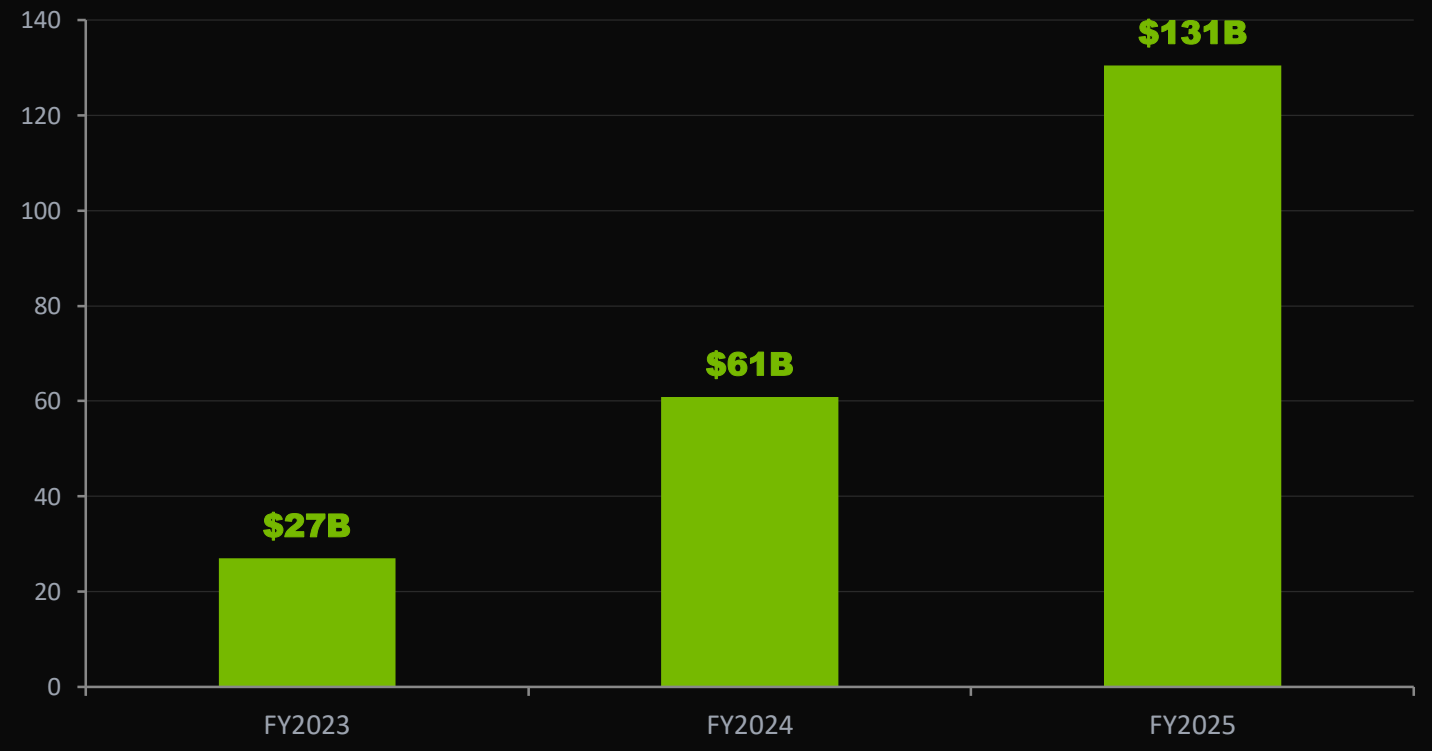
## RTX workstation GPUs

Studio-grade GPUs for 3D rendering, CAD, and virtual production. Foundation for the Omniverse industrial-metaverse platform.

PARTNERS

Adobe, Autodesk, BMW

# Revenue more than doubled *in a single fiscal year.*




FY25 Revenue

**$130.5B**

*+114% YoY*

FY25 Net Income

**$72.9B**

*+145% YoY*

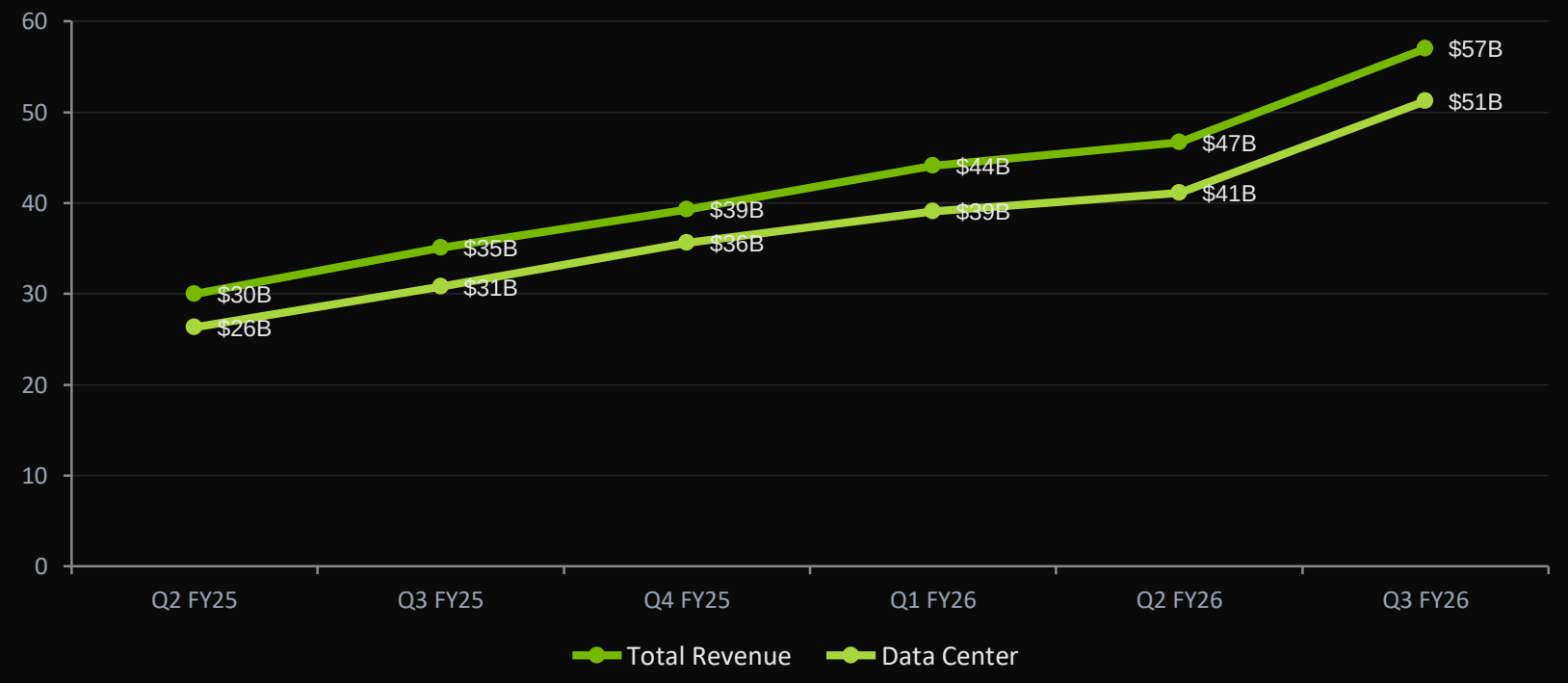
Gross Margin

**75%**

*Industry-leading*

*Source: NVIDIA Investor Relations, FY2025 10-K filing.*

# Six straight quarters *of record revenue.*




Q3 FY26

**$57.0B**

*+62% YoY*

Data Center alone grew from $26B to $51B in 5 quarters — a doubling that absorbed every available B200 GPU NVIDIA could ship.

*Source: NVIDIA quarterly earnings releases (Q2 FY25 to Q3 FY26).*

# Pricing power *looks like this.*

GROSS MARGIN

**75%**

*vs. semi industry avg ~50%*

OPERATING MARGIN

**62%**

*Q3 FY26*

FREE CASH FLOW

**$66.5B**

*First 3 quarters of FY26*

CASH ON HAND

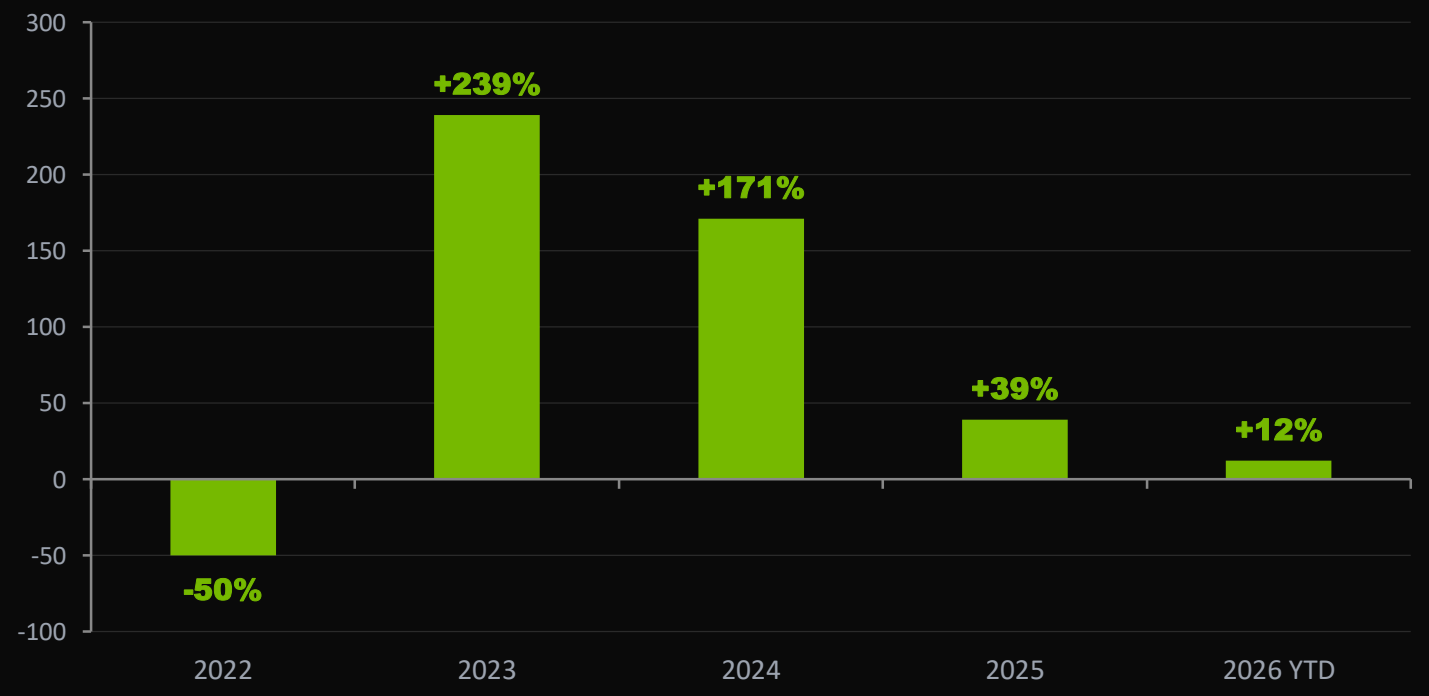
**$60.6B**

*End of Q3 FY26*

*NVIDIA generates more cash per quarter than most S&P 500 companies generate in a full year.*

# $5.1 trillion

*of value, three years after ChatGPT.*




PRICE (APR 24, 2026)

**$208**

P/E (TTM)

**41x**

FORWARD P/E

**25x**

52-WEEK RANGE

**$104 — $212**

*Source: NASDAQ, NVDA total return; P/E from MacroTrends, Apr 2026.*

# Selling shovels *in the AI gold rush.*

AI ACCELERATOR MARKET SHARE

**80—90%**

*of all AI accelerator revenue*

*Source: IDC, Silicon Analysts, Yahoo Finance — Q1 2026 estimates.*

## Market share by segment

| | |
|---|---|
| AI training<br>*Frontier model training* | **90%+** |
| AI inference<br>*Custom silicon eats here* | **60—75%** |
| Discrete GPU (PCs)<br>*Q1 2025, gaming + workstation* | **92%** |
| Wafers used for AI chips<br>*Of TSMC's total AI allocation* | **77%** |

# CUDA is not just software.
## *It's why nobody can leave.*

**18**

YEARS

### Of accumulated tooling.

Released in 2007. Every framework (PyTorch, TensorFlow, JAX) is built and optimised for CUDA first. Switching means rewriting the foundation.

**4M+**

DEVELOPERS

### Trained on CUDA.

An entire generation of AI engineers learned to program GPUs through CUDA. The talent pool itself is a moat.

**$$$**

SWITCHING COST

### Measured in years.

AMD's ROCm has matured but still trails. For frontier labs, the cost of porting models, debugging, and re-validating workloads on a new stack outweighs the hardware savings.

# Three classes of threat.
# *Different timelines.*

## AMD

Direct hardware rival

MI355X ships with 288GB HBM3e — 50% more memory than B200. Aggressive pricing. ROCm software stack maturing.

MEDIUM

Now

## Hyperscalers

Custom silicon (Google, Amazon, Meta)

Google TPU v6, AWS Trainium3, Meta MTIA. Built for their own workloads. Each chip displaces an NVIDIA chip in their own data centers.

HIGH

2026–2030

## Intel

Value tier

Gaudi 3, Falcon Shores. Targets price-per-performance segment. Limited share but uses Intel's own foundry capacity as leverage.

LOW

Now

# The chip is now *a strategic asset.*

HEADWINDS

## U.S. export restrictions to China

China was 20—25% of revenue. NVIDIA designs lower-spec H20/L20 to comply, but full Blackwell access remains blocked. Restrictions tightened in 2024 and 2025.

## Higher U.S. interest rates

Discount rates compress growth-stock valuations. Customers funding AI capex via debt face higher cost of capital. Startup VC funding tightens.

TAILWINDS

## Sovereign AI

Saudi Arabia, UAE, France, Japan, India are building national AI infrastructure. Each cluster is denominated in NVIDIA hardware. New customer category that did not exist in 2022.

## Hyperscaler capex commitments

Microsoft, Meta, Google, Amazon are guiding to combined AI capex of $300B+ in 2025—2026. Demand still exceeds supply for Blackwell.

# What could go wrong.

## Customer concentration

HIGH

Top 4 hyperscalers represent ~40% of total revenue. Any one of them slowing AI capex hits the whole top line.

## TSMC single point of failure

HIGH

100% of advanced chips manufactured at TSMC in Taiwan. A geopolitical disruption would halt supply with no near-term alternative.

## Custom silicon erosion

MEDIUM

Hyperscalers shifting inference workloads to in-house TPUs/Trainium. Could compress NVIDIA's share of inference market over 3—5 years.

## Bubble valuation risk

MEDIUM

Trading at $5T market cap. P/E of 41x is below historical average, but absolute valuation depends on AI capex sustaining at current pace through 2027.

*None of these are reasons to short. They are the things to monitor each quarter.*

BOTTOM LINE

# NVIDIA owns the picks *and shovels of AI.*

**01** **Dominant share, sustained.**

80—90% of AI accelerator market, defended by CUDA's 18-year ecosystem moat.

**02** **Capital efficiency at scale.**

75% gross margin and $66B free cash flow in 9 months. Pricing power that few large-caps can match.

**03** **Concentration risk is real.**

Two-sided dependence: ~90% revenue in Data Center, manufacturing 100% at TSMC. Both worth tracking.